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County of Alameda

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SUPERIOR COURT OF THE STATE OF CALIFORNIA
IN AND FOR THE COUNTY OF ALAMEDA

GREEN SANDS INVESTMENT CLUB B,
LLC, a Delaware limited liability company,

Plaintiff,

v.

CRYPTO LOTUS FUND A, LP, a Delaware
limited partnership; JONAS LAUREN NORR,
an individual; and Does 1 through 100,
inclusive,

Defendants.

Case No.: 22CV008125

**DEFENDANTS' REPLY MEMORANDUM OF
POINTS & AUTHORITIES IN FURTHER
SUPPORT OF MOTION TO COMPEL
ARBITRATION AND DISMISS OR STAY
JUDICIAL PROCEEDINGS AND FOR
ATTORNEY'S FEES, COSTS, AND
EXPENSES**

[C.C.P. §§ 1281.2, 1281.4]

Date: November 16, 2022
Time: 2:30 P.M.
Dept.: 518
Judge: Hon. Dennis Hayashi

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I. INTRODUCTION

Plaintiff's opposition brief disingenuously tries to run from an arbitration agreement in the LPA that governs its investment; and then argues, without any legal authority, that Defendants somehow waived arbitration despite moving for arbitration immediately. Plaintiff's meritless arguments ignore three critical facts:

- Plaintiff for its investment agreed to be bound by the Limited Partnership Agreement (LPA),¹ which contains an exceptionally broad arbitration clause that encompasses "any controversy or claim arising out of or relating to the LPA." (Mov. Br. at 2 (quoting Norr Decl. Ex. A § 12.20).)
- The Side Agreement, on which all of Plaintiff's claims are based, expressly incorporates the LPA's arbitration provision, by stating that it, "together with the Investment Documents ... constitute the entire agreement among the Parties." (*Id.* at 3 (quoting Compl. Ex. C § 13).) It also provides that "the jurisdiction as set forth in the Investment Documents" (*i.e.*, JAMS arbitration) shall decide disputes under the Side Agreement. (*Id.*)
- Defendants raised arbitration immediately upon accepting service of Plaintiff's initial complaint. Plaintiff *admitted that its claims should be arbitrated* and dismissed the initial complaint: stating that plaintiff had dutifully "*agreed to proceed with arbitration*" and to "*expedite the submittal of this matter to JAMS.*" (*Id.* at 4 (quoting Klingsporn Decl. Ex. A).) Once Plaintiff reneged on this admission by filing the current complaint, Defendants immediately moved to compel arbitration.

Tellingly, Plaintiff's opposition does not – because it cannot – distinguish a single case cited in the Moving Brief. Further, Plaintiff's opposition effectively concedes several points, such as Defendants' entitlement to fees, costs, and expenses for bringing this motion. Plaintiff's inability to refute the pertinent facts and law defeats all of its arguments.

II. ARGUMENT

A. Delaware Law Governs this Motion

Section III.A of the Moving Brief (at 4-5) demonstrates that California public policy favors Delaware law – the parties' own choice of law for every document at issue in this dispute – for this motion. The LPA's express terms require Delaware law. Delaware also has a substantial relationship to the parties, and there is a reasonable basis to apply that jurisdiction's law. And because Delaware

¹ Unless otherwise indicated, Defined terms herein have the meanings ascribed to them in Defendants' opening brief (the "Moving Brief" or "Mov. Br.").

1 law applies, this Court can also dismiss the complaint for lack of subject matter jurisdiction. (See
2 Mov. Br. § III.C at 9.)

3 Plaintiff fails to cite any authority in favor of avoiding Delaware law. The only mention of
4 another jurisdiction is in Plaintiff's conclusion, which requests arbitration pursuant to California
5 law. But again, Plaintiff cites no supporting authority. None of the parties' documents chooses
6 California law. But the LPA chooses Delaware law, which the Side Agreement incorporates by
7 providing that it "shall be governed by and construed in accordance with the laws ... set forth in the
8 Investment Documents." (Compl. Ex. C § 8.)

9 **B. The Court Should Compel Arbitration of the Entire Complaint**

10 As discussed in Section III.B of the Moving Brief (at 5-8), the LPA's exceptionally broad
11 arbitration clause (echoed in the Offering Memorandum), requires arbitration of "any controversy
12 or claim arising out of" the LPA. This easily covers each of Plaintiff's claims. Plaintiff ignores that
13 the LPA, which the Side Agreement incorporates, governs Plaintiff's entire investment with Crypto
14 Lotus. Thus the arbitration clause covers each of the complaint's claims, which focus on Plaintiff's
15 investment. Instead, Plaintiff distorts the Side Agreement, the parties' inadmissible settlement
16 negotiations,² and California law to avoid its arbitration obligation. These arguments fail.

17 **1. Plaintiff's Claims Are Required to Be Arbitrated**

18 Each of Plaintiff's claims is required to be arbitrated under the LPA and Offering
19 Memorandum, which the Side Agreement expressly incorporates. The LPA and Offering
20 Memorandum are key Investment Documents that govern Plaintiff's entire Crypto Lotus
21 investment, and contain exceptionally broad arbitration clauses in the LPA and Offering
22 Memorandum. (Mov. Br. at 5-7.)

23 Specifically, the LPA provides: "[T]o the fullest extent permitted by law, *any controversy or*
24 *claim arising out of or relating to this Agreement*, or the breach thereof, shall be settled by
25 arbitration" (Norr Decl. Ex. A § 12.20 (emphasis added).) The Offering Memorandum repeats
26 this broad language: "Any dispute, claim or controversy ... arising out of or relating to this Agreement
27

28 ² Plaintiff's evidence submitted in the Declaration of Oscar G. Jimenez, Esq., is inadmissible for the reasons set
forth in Defendants' objections thereto, submitted with this reply brief.

1 ... shall be resolved” by JAMS Arbitration. (*Id.* Ex. B at 34.)

2 Further, the Offering Memorandum provided Plaintiff with clear “**NOTICE REGARDING**
3 **AGREEMENT TO ARBITRATE**” in all capital letters, and stated “THIS MEMORANDUM
4 REQUIRES THAT ALL INVESTORS ARBITRATE ANY DISPUTE ARISING OUT OF THEIR
5 INVESTMENT IN THE LP INTERESTS.” (*Id.* Ex. B at 8 (typeface as in original).)

6 Critically, the Side Agreement expressly incorporates the LPA and Offering Memorandum’s
7 arbitration clauses as part of the Side Agreement by expressly incorporating the Crypto Lotus
8 “Investment Documents.” (Compl. Ex. C § 13.) Further, the Side Agreement expressly states that
9 it “shall be governed by and construed in accordance with the laws *and in the jurisdiction* as set
10 forth in the Investment Documents.” (*Id.* Ex. C § 8 (emphasis added).) “[T]here is no question” as
11 to the breadth of such arbitration clauses, which “cover all claims ‘arising out of’ or ‘related to’ the
12 Agreement.” *Town of Smyrna v. Kent Cty. Levy Ct.*, C.A. No. 244-K, 2004 WL 2671745, at *2 (Del.
13 Ch. Nov. 9, 2004)”; accord *Tamanaha v. DroneBase, Inc.*, No. B307866, 2022 WL 403917, at *12
14 (Cal. Ct. App. Feb. 10, 2022) (“broadly worded” arbitration provision “extending to any and all
15 disputes arising out of the offer letter” applied to tort that “arose out of the business relationship
16 created by the offer letter”).

17 Accordingly, the broad arbitration provisions of the LPA and Offering Memorandum are
18 incorporated into the Side Agreement and govern all of Plaintiffs’ claims. In stark contrast, Plaintiff
19 is misguided in ignoring the arbitration provisions and Defendants’ case law, and instead argues (at
20 5) that Paragraph 10 of Side Agreement conflicts with the parties’ arbitration clause through its
21 silence as to arbitration. Plaintiff’s argument fails, because the Side Agreement poses no conflict at
22 all – and in fact expressly incorporates the LPA and Offering Memorandum’s arbitration provisions.

23 First, Paragraph 10 does not even purport to address arbitration or the choice of forum.³
24 Instead, it merely addresses attorney’s fees for a prevailing party.⁴ Plaintiff even admits in its brief
25 (at page 5) there is in fact no conflict with the LPA’s arbitration clause by stating that the Side

26 ³ Reinforcing the parties’ intent to incorporate the LPA and Offering Memorandum’s arbitration clauses, the
27 Side Agreement (which does not contain a dispute-resolution clause) provides that it “supplements,” rather than
supplants, the Investment Documents (which do). (Compl. Ex. C § 13.)

28 ⁴ Ironically, Plaintiff ignores the Side Agreement’s fees provision in its pertinent context: Defendants’ fee
request, which stands unrebutted.

1 Agreement “*does not make any reference to arbitration*” (emphasis added). Exactly so – the Side
2 Agreement does not address arbitration or the choice of forum at all, except to refer to the
3 Investment Documents that expressly require arbitration. Accordingly, the LPA’s arbitration clause
4 governs.

5 Indeed, the parties could easily have drafted the Side Agreement to eliminate the arbitration
6 requirement. But they did not do so. Instead, they expressly incorporated the LPA’s jurisdiction
7 provision requiring arbitration.

8 Next, Plaintiff argues (at 7) that two provisions of Code of Civil Procedure Section 1281.2
9 somehow apply to Defendants’ motion. Even if California law could apply here –and it does not
10 because Delaware law applies – Plaintiff’s arguments in this regard border on the frivolous.

11 Plaintiff first cites Section 1281.2(c), which only applies where “[a] party to the arbitration
12 agreement is also a party to a pending court action or special proceeding with *a third party*, arising
13 out of the same transaction or series of related transactions and there is a possibility of conflicting
14 rulings” (emphasis added). But there is no third-party proceeding here. Indeed, Plaintiff does not
15 – and cannot – identify any third-party action in its opposition. Because both Plaintiff and
16 Defendants are subject to the arbitration agreement, Section 1281.2(c) is inapplicable. See
17 *Performance Contracting, Inc. v. Abener Teyma Mojave Gen. P’ship*, No. E062939, 2016 WL 1019986,
18 at *4 (Cal. Ct. App. Mar. 15, 2016), *as modified on denial of reh’g* (Mar. 30, 2016) (reversing denial of
19 motion to compel arbitration where non-signatory defendants “can enforce the contract’s arbitration
20 clause against plaintiff and thus are not third parties within the meaning of section 1281.2,
21 subdivision (c)”; *Laswell v. AG Seal Beach, LLC*, 117 Cal. Rptr. 3d 310, 318 (Cal. Ct. App. 2010)
22 (“Because no defendant in this case is a third party to the arbitration agreement, the discretion
23 afforded by Code of Civil Procedure section 1281.2, subdivision (c), does not come into play”).

24 Plaintiff next notes that “[i]f ... there are other issues between the petitioner and the
25 respondent *which are not subject to arbitration* and *which are the subject of a pending action or*
26 *special proceeding between the petitioner and the respondent* and that a determination of such
27 issues may make the arbitration unnecessary, the court may delay its order to arbitrate” C.C.P.
28 § 1281.2 (emphasis added). But as shown above, all of Plaintiff’s claims are required to be arbitrated.

Strikingly, the “pending action” to which Plaintiff points is *this very litigation*. That is bootstrapping: it is nonsense to argue that a party can nullify an arbitration agreement simply by suing on claims that must be arbitrated. If that were the law, no arbitration agreement would ever be enforceable.⁵

Finally, Plaintiff’s arguments against arbitration are belied by its own prior agreement to arbitrate this action. About a month after filing its first complaint, Plaintiff’s counsel confirmed that Plaintiff “*has agreed to proceed with arbitration* and is willing to attempt mediation first,” and that Plaintiff would dismiss its lawsuit “*to expedite the submittal of this matter to JAMS*.” (Mov. Br. at 4 (quoting Klingsporn Decl. Ex. A).) The next day, Plaintiff’s counsel reaffirmed Plaintiff’s intention to “file with JAMS.” (*Id.* (quoting Klingsporn Decl. Ex. A).)

2. Defendants Have Not Waived Their Right to Arbitrate

In a last-ditch effort to avoid arbitration, Plaintiff argues (at 8-9) that Defendants waived their right to compel, by allegedly delaying arbitration. This argument distorts the facts and has no basis in fact or law.

As discussed in the Moving Brief, Defendants have in no way delayed the resolution of this dispute or prejudiced Plaintiff. Instead, Defendants immediately raised arbitration after Plaintiff filed its first complaint (which it dismissed voluntarily), and immediately moved to compel arbitration when Plaintiff filed its current complaint.

In fact, it is Plaintiff who has delayed the proper resolution of its claims by refusing to abide by its agreement to arbitrate, and by re-filing in court *after admitting that its claims needed to be arbitrated*. As noted above, shortly after filing the initial complaint, Plaintiff’s counsel confirmed that Plaintiff “*has agreed to proceed with arbitration*,” and would dismiss its lawsuit “*to expedite the submittal of this matter to JAMS*.” (Mov. Br. at 4 (quoting Klingsporn Decl. Ex. A).)

Unsurprisingly, the waiver considerations featured in Plaintiff’s own legal authority require finding there was no waiver of arbitration. The key factors in determining whether a Defendant waived its right to arbitrate include:

⁵ Also futilely, Plaintiff argues on page 6 of its brief that its own threats of litigation dispensed with its obligation to arbitrate, as if he could unilaterally waive Defendants’ right to compel arbitration.

- “whether a party either requested arbitration enforcement close to the trial date or delayed for a long period before seeking a stay;”
- “whether a defendant seeking arbitration filed a counterclaim without asking for a stay of the proceedings;”
- whether important intervening steps [e.g., taking advantage of judicial discovery procedures not available in arbitration] had taken place;” and
- “whether the delay affected, misled, or prejudiced the opposing party.”

Wagner Constr. Co. v. Pac. Mech. Corp., 58 Cal. Rptr. 3d 434, 442 (Cal. 2007) (quotations omitted).

Here, Defendants have at all times acted consistent with the parties’ arbitration obligation. Three weeks and a day after Plaintiff filed its original, virtually identical, complaint in this Court, Defendants’ counsel raised the LPA’s arbitration clause with Plaintiff’s counsel and “urge[d] [Plaintiff] to act on its own to move this case to JAMS Arbitration now.” (Mov. Br. at 4 (quoting Klingsporn Decl. Ex. A).) About a month later, Plaintiff’s counsel confirmed Plaintiff’s obligation to arbitrate, stating that Plaintiff “*has agreed to proceed with arbitration* and is willing to attempt mediation first,” and that Plaintiff would dismiss its lawsuit “*to expedite the submittal of this matter to JAMS.*” (*Id.* (quoting Klingsporn Decl. Ex. A).) The next day, Plaintiff’s counsel reaffirmed Plaintiff’s intention to “file with JAMS.” (*Id.* (quoting Klingsporn Decl. Ex. A).) Plaintiff voluntarily dismissed its complaint on December 20, 2021, confirming its claims must be arbitrated. *Id.*

When Plaintiff reneged on its agreement, and filed its current complaint, Defendants immediately moved to compel arbitration, before taking any other action in this litigation. Therefore, Plaintiff’s cries of prejudice ring hollow and do not come close to rising to the level of prejudicial gamesmanship described in Plaintiff’s cited authority. See, e.g., *Sobermonte v. Superior Court*, 72 Cal. Rptr. 2d 43, 52-53 (Cal. Ct. App. 1998) (movant failed to move for arbitration until a month before trial, after plaintiffs “spent 10 months preparing their case for a full trial at a considerable expenditure of time and money” in discovery and motion practice); *Davis v. Cont’l Airlines, Inc.*, 69 Cal. Rptr. 2d 79, 84 (Cal. Ct. App. 1997) (six-month delay in moving for arbitration, where movants “used court discovery procedures to obtain 1,600 pages of documents from plaintiff

1 in 86 categories,” and took “plaintiff’s 2-day, 410-page videotaped deposition”).⁶

2 The parties’ failure to settle is beside the point. Plaintiff was free at all times to commence
3 an arbitration. But Plaintiff chose not to do so.

4 Moreover, California procedural rules precluded Defendants from moving to compel
5 arbitration until after the current complaint was filed in court. “[A] party to an agreement to
6 arbitrate may not bring an action to compel specific performance of the arbitration provision until
7 he or she can allege not only the existence of the agreement, but also that the opposing party *refuses*
8 *to arbitrate* the controversy.” *Spear*, 9 Cal. Rptr. 2d at 385 (discussing C.C.P. § 1281.2) (emphasis
9 in original)). As discussed above, Defendants previously secured Plaintiff’s dismissal of its original
10 complaint in favor of pursuing arbitration. Thus, Defendants could not have moved to compel
11 arbitration until Plaintiff reversed course and filed the current complaint. Thus, Defendants did so
12 at the first opportunity.

13 **C. Defendant Crypto Lotus Is Entitled to Attorney’s Fees, Costs, and Expenses**

14 Defendants demonstrated in Section III.D of the Moving Brief (at 9-10) why this Court
15 should award Crypto Lotus its attorney’s fees, costs, and expenses in connection with this motion –
16 primarily pursuant to the Side Agreement’s terms and also based on Plaintiff’s bad faith. Plaintiff
17 did not address Defendants’ request in its opposition, and has therefore waived any objection. The
18 frivolity of Plaintiff’s arguments only strengthens the case for its bad faith in filing this litigation –
19 after previously admitting that its complaint should be filed in JAMS arbitration.

21
22 ⁶ Other cases cited by Plaintiff are similarly inapposite. See *Davis v. Blue Cross of N. Cal.*, 158 Cal. Rptr. 828,
23 832-33 (Cal. 1979) (insurer waived right to demand arbitration with insureds “by virtue of the obscure placement and
24 ambiguous wording of its arbitration clause” and failure to take “any steps to appraise its insureds of such arbitration
25 procedure”); *Sawday v. Vista Irrigation Dist.*, 52 Cal. Rptr. 1, 4 (Cal. 1966) (lessee waived right to compel arbitration
26 against lessor after paying rent for one year without demanding arbitration); *Lewis v. Fletcher Jones Motor Cars, Inc.*, 140
27 Cal. Rptr. 3d 206, 215 (Cal. Ct. App. 2012) (waiver where movant waited four months until after complaint was filed
28 to “first express[] a desire to arbitrate” – during which time he engaged in discovery and motion practice without raising
the arbitration right); *Burton v. Cruise*, 118 Cal. Rptr. 3d 613, 616 (Cal. Ct. App. 2010) (waiver “by waiting to pursue
arbitration until the virtual eve of trial, long after discovery ... had been completed”); *Gunderson v. Superior Court*, 120
Cal. Rptr. 35, 37-38 (Cal. Ct. App. 1975) (waiver by failing to raise arbitration clause as affirmative defense in answer
and by serving discovery requests). Plaintiff’s remaining case law either found no waiver of the right to compel arbitration
(see *Iskanian v. CLS Transp. L.A., LLC*, 173 Cal. Rptr. 3d 289, 308 (Cal. 2014)) or reversed a denial of a motion to compel
and remanded for further analysis (see *Wagner Constr. Co.*, 58 Cal. Rptr. 3d at 442; *Spear v. Cal. State Auto. Ass’n*, 9 Cal.
Rptr. 2d 381, 386-87 (Cal. 1992)).

1 **III. CONCLUSION**

2 For the foregoing reasons, and those stated in the Moving Brief, the Court should compel
3 all claims to be arbitrated in JAMS Arbitration under the parties' agreements, dismiss this litigation
4 pursuant to governing Delaware law (or alternatively stay it pending arbitration), and award Crypto
5 Lotus its costs, fees, and expenses incurred in connection with this motion.

6 Respectfully submitted,

7
8 Dated: November 10, 2022

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PROOF OF SERVICE BY E-MAIL
(CCP 1013a, 2015.5)

I declare that I am a citizen of the United States and that I am over the age of 18 years, employed in the County of San Mateo, and not a party to the within action; my business address is 1100 Alma Street, Suite 210, Menlo Park, CA 94025.

On November 10, 2022, I caused a copy of the following: **DEFENDANTS' REPLY MEMORANDUM OF POINTS & AUTHORITIES IN FURTHER SUPPORT OF MOTION TO COMPEL ARBITRATION AND DISMISS OR STAY JUDICIAL PROCEEDINGS AND FOR ATTORNEY'S FEES, COSTS, AND EXPENSES** to be sent from email address jlb@jsmf.com to persons at the email addresses listed below:

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I did not receive within a reasonable time of the transmission, any electronic message or other indication that the transmission was unsuccessful.

I declare under penalty of perjury under the laws of the State of California that the foregoing are true and correct. Executed at Menlo Park, California, on November 10, 2022.

JANET BILLUPS